



Docket No. 2015-8

Section 1201 Study

**Surreply Comments of the Software and Information
Industry Association**

October 27, 2016

The Software and Information Industry Association (SIIA) appreciates the opportunity to respond to the Copyright Office's additional request for comments.¹ SIIA is the principal trade association of the software and information industries and represents over 800 companies that develop and market software and digital content for business, education, consumers, the Internet, and entertainment. SIIA's members range from start-up firms to some of the largest and most recognizable corporations in the world, and one of SIIA's primary missions is to protect their intellectual property and advocate a legal and regulatory environment that benefits the software and digital content industries.

Our membership has a strong interest in the continued successful operation of section 1201. The record thus far indicates that the statute has been an enormous success, encouraging creators of films, educational works, databases and others to make their materials available in digital form, and by preventing the capital formation around businesses designed to circumventing those tools. While we have suggested that some adjustments to the rulemaking could help to streamline procedures (and that such adjustments are within the Copyright Office's regulatory discretion), that record does not support amendments to existing law.

The Federal Register notice asks for input on a number of issues, falling into three general categories: (1) proposals for new permanent exemptions involving circumvention for the sight-

¹ 81 Fed. Reg. 66296.

disabled, device unlocking, computer programs, and obsolete technologies; (2) amendment to the existing statutory permanent exemptions, and (3) existence of an implied right of manufacture under section 1201(a)(2) for those persons assisting the recipient of an exemption circumvent protections to a copyrighted work. We have addressed many of these issues already in our reply comments, and will not reiterate our responses here, but do make the following general comments with respect to some specific areas raised in the Federal Register.

Proposals for new permanent exemptions

As the Office is well aware, Congress intended the rulemaking to function as a fail-safe when technologies and business practices change. Thus, if users are affected in their ability to make non-infringing uses over a three-year period, the office may exempt certain classes of works. As importantly, if the exemption needs adjustment or has become a basis for abuse, its terms can be adjusted in three years with comparative efficiency.

In light of that fact, it seems that the Office is asking the questions in the wrong order. Legislative amendment eschews regulatory flexibility. It would seem to us that the need for legislative change ought to be evaluated in the context of the regulatory procedure as the Office has amended it. Indeed, it would seem to make more sense for those seeking amendment to the statute to explain both their need for a permanent exemption and why the Office's changes to the procedure are insufficient. As mentioned above, we do not believe that any such record exists, but look forward to reviewing what other commenters may say on this issue.

Proposals for amendment of existing exemptions

The request for additional comments also asks commenters to discuss amendments to existing permanent exemptions. SIIA has a particular interest in those relating to computer software: our membership includes a variety of large and small software

providers. The existing statutory exemptions in section 1201(f) (reverse engineering); 1201(g) (encryption research); and 1201(j) (security testing) were the result of careful negotiation. Those negotiations successfully balance legitimate interest in each of these activities against risks of infringement, and have prevented harmful activity from occurring under the guise of exempted activity.²

Indeed, we note that enactment of the statute came complete with multiple predictions of impending doom for both encryption and first sale. Congress ordered the Copyright Office to study both issues in consultations with the Department of Commerce, and the parade of horrors predicted by the legislation's opponents simply did not appear. Once again, the record appears scant for amendments to these exemptions.

Anti-trafficking provisions

As we have mentioned, the anti-trafficking provisions are essential to implementing the statute's policy. As SIIA (and others) discussed in our reply comments, Congress intended the trafficking provisions to prevent anti-circumvention tools from becoming a commercially viable activity.

The request for additional comments asks whether an implied right for third-party activities exists. The text and structure of the statute foreclose that conclusion. We note that, for example section 1201(g)(2) expressly applies only to acts of circumvention under section 1201(a)(1)(A), and not to acts of trafficking under section 1201 (a)(2).³ In contrast, section 1201(f)(2) permits trafficking in devices designed to circumvent technological

² *E.g.*, *Universal City Studios, Inc. v. Reimerdes*, 111 F. Supp. 2d 294, 319 (S.D.N.Y.) (rejecting application of reverse engineering defense), *judgment entered*, 111 F. Supp. 2d 346 (S.D.N.Y. 2000), *aff'd sub nom.* *Universal City Studios, Inc. v. Corley*, 273 F.3d 429 (2d Cir. 2001).

³ *See also, e.g.*, 17 U.S.C. § 1201(j)(2) (limiting applicability of security testing exemption to acts of circumvention under 17 U.S.C. § 1201(a)(1)(A)); *id.* § 1201 (f)(1) (containing a similar limitation to section 1201(a)(1)(A)).

measures for a lawful circumvention purpose. The statute permits the creation of circumvention devices in some circumstances, and proscribes them in others. While a limited sample of commenters might disagree with Congress's choices in this respect, SIIA does not. In any event, the legislature has made its intent plain.

Thank you for the opportunity to submit our views.

Respectfully submitted,

A handwritten signature in blue ink, reading "Christopher A. Mohr". The signature is fluid and cursive, with the first name "Christopher" written in a larger, more prominent script than the last name "Mohr".

Christopher A. Mohr
Vice President for Intellectual
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